Stock Market Basics Research Report

Prepared By:

Alakuntla Shruthi

Internship: Stock Market & Trading Basics

Introduction

The stock market is an important part of the global financial system. It provides a platform where investors can buy and sell shares of publicly listed companies. Companies use the stock market to raise capital for business expansion, while investors purchase shares to earn returns through dividends and capital appreciation. A well-functioning stock market contributes to economic growth by encouraging investment, creating employment opportunities, and improving business productivity.

In India, the two major stock exchanges are the **National Stock Exchange (NSE)** and the **Bombay Stock Exchange (BSE)**. Millions of investors participate in the stock market every day to build wealth and achieve their financial goals.

What is the Stock Market?

The stock market is a marketplace where shares of publicly listed companies are bought and sold. When a company needs money for expansion, research, or business operations, it can issue shares to the public. Investors who purchase these shares become partial owners of the company.

The value of shares changes continuously depending on market demand, company performance, economic conditions, government policies, and investor sentiment. If a company performs well, its share price generally increases, allowing investors to earn profits. On the other hand, poor performance may lead to a decline in share prices.

The stock market serves several important purposes:

- Helps companies raise capital.
- Provides investment opportunities.
- Supports economic development.
- Improves liquidity by allowing investors to buy and sell shares easily.
- Encourages corporate transparency and accountability.

Investing in the stock market requires careful research, risk management, and a long-term perspective.

Primary Market

The **Primary Market** is where new securities are issued for the first time. Companies raise funds directly from investors by offering shares through an **Initial Public Offering (IPO)** or other public issues.

Features of the Primary Market

- Shares are issued directly by the company.
- Investors purchase newly issued shares.
- The company receives the investment amount.
- Used for business expansion and growth.

Advantages

- Companies obtain capital for development.
- Investors can purchase shares at the issue price.
- Supports business growth and employment generation.

Example

When a company launches its IPO, investors subscribe to the shares during the issue period. Once allotted, these shares become available for trading in the secondary market.

Secondary Market

The **Secondary Market** is where investors buy and sell shares that have already been issued in the primary market. The company does not receive money from these transactions because the trading occurs between investors.

Stock exchanges such as **NSE** and **BSE** facilitate these transactions through electronic trading systems.

Features of the Secondary Market

- Trading occurs between investors.
- Provides liquidity to shareholders.
- Share prices fluctuate according to market conditions.
- Enables easy buying and selling of securities.

Advantages

- Investors can easily convert investments into cash.
- Price discovery based on demand and supply.
- Continuous trading during market hours.
- Promotes transparency in financial markets.

Difference Between Primary and Secondary Market

Primary Market	Secondary Market
New shares are issued.	Existing shares are traded.
Company receives the investment.	Investors trade among themselves.
Shares are purchased through IPOs.	Shares are traded on stock exchanges.
Capital is raised for business growth.	Provides liquidity to investors.
Shares are sold for the first time.	Shares can be bought and sold multiple times.

Role of SEBI in India

The **Securities and Exchange Board of India (SEBI)** is the regulatory authority responsible for supervising and regulating India's securities market. Established in **1992**, SEBI protects investors, ensures fair trading practices, and promotes the healthy development of the capital market.

Major Functions of SEBI

1. Protecting Investors

SEBI safeguards investors from fraud, unfair trade practices, and market manipulation by enforcing strict regulations.

2. Regulating Stock Exchanges

SEBI monitors the functioning of stock exchanges such as NSE and BSE to ensure transparent and efficient trading.

3. Regulating Listed Companies

Companies listed on stock exchanges must follow SEBI guidelines regarding financial reporting, corporate governance, and disclosure of important information.

4. Preventing Insider Trading

SEBI takes action against individuals who misuse confidential company information for personal financial gain.

5. Promoting Fair Markets

SEBI introduces regulations that ensure equal opportunities for all investors and maintain market integrity.

6. Investor Education

SEBI conducts awareness programs to educate investors about financial planning, investment risks, and fraud prevention.

Through these activities, SEBI plays a significant role in maintaining investor confidence and ensuring the smooth functioning of India's capital markets.

Conclusion

The stock market is an essential component of every modern economy. It enables companies to raise funds for expansion while offering investors opportunities to build long-term wealth. The primary market allows companies to issue new shares, whereas the secondary market provides liquidity by enabling investors to trade existing shares.

In India, SEBI plays a vital role in regulating the securities market, protecting investors, and promoting transparency and fairness. Understanding the basics of the stock market, the difference between primary and secondary markets, and the functions of SEBI helps individuals make informed investment decisions and participate responsibly in financial markets.

References

1. Securities and Exchange Board of India (SEBI)
2. National Stock Exchange (NSE)
3. Bombay Stock Exchange (BSE)
4. National Institute of Securities Markets (NISM)
5. Investopedia – Stock Market Basics